

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

WEBTRANS LOGISTICS, INC., *Claimant*

v.

HAPAG-LLOYD (AMERICA) LLC, *Respondent*.

DOCKET NO. 2013(F)

Served: October 8, 2024

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

INITIAL DECISION GRANTING DISMISSAL¹

For the reasons set forth below, I find that the Commission does not have jurisdiction to consider this dispute, and therefore I **GRANT** Respondent Hapag-Lloyd (America) LLC's motion to dismiss.

I. Background

Webtrans Logistics, Inc. ("Claimant"), filed a private complaint that the Office of the Secretary received on July 9, 2024 ("Claim"). The Claim names Hapag-Lloyd (America) LLC ("HLA") as a Respondent. Among other things, Claimant alleges that Claimant received an ocean export booking confirmation from HLA out of the port of Vancouver, and thus timely delivered its containers to the port. Allegedly, despite representing to HLA that Claimant's containers did not contain hazardous material, Claimant's containers were not shipped on the intended vessel due to a "hazmat hold". This resulted in port charges of \$18,310.50, which has since become \$22,705.02. Claimant cites 46 U.S.C. § 41102(c) in support of its Claim and alleges that Respondent is a "common carrier." (*See generally* Claim).

On July 15, 2024, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment.

On July 26, 2024, HLA filed Respondent Hapag-Lloyd (America) LLC's Motion to Dismiss Small Claims Complaint ("Motion to Dismiss"). HLA advanced two arguments in its Motion to Dismiss: 1) HLA is not a regulated entity; 2) the transportation at issue was between two ports in foreign countries. HLA also wrote that it does not submit to the informal procedure provided in Subpart S of the Federal Maritime Commission's Rules of Practice and Procedure. (Motion to Dismiss, p. 6). Finally, Exhibit A to the Motion to Dismiss is an invoice from HLA

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.318.

to Claimant showing a shipment from Edmonton, Alberta, Canada via Vancouver, British Columbia, Canada to Hai Phong, Vietnam.

On August 8, 2024, the Chief Administrative Law Judge issued a Notice of Reassignment to Administrative Law Judge (“Notice of Reassignment”). The Notice of Reassignment noted that HLA did not consent to informal procedures under Subpart S. Therefore, this case was reassigned to an Administrative Law Judge under Subpart T. The Notice of Reassignment directed Respondent to file an Answer to the Complaint by August 19, 2024. The Notice of Reassignment also indicated that Claimant may file a reply memorandum, supporting documents, and affidavits addressing Respondent’s defenses within twenty (20) days of service of the answer.

On August 19, 2024, Respondent filed Respondent Hapag-Lloyd (America) LLC’s Special Appearance Response & Answer to Complaint (“Answer”). In its Answer, Respondent reiterated the arguments set forth in the Motion to Dismiss. Respondent also contested the merits of Claimant’s Claim.

Claimant did not file a reply to Respondent’s Answer.

II. Applicable Authority

As noted above, this matter is proceeding under Subpart T. In general, motion practice is not permitted under Subpart T. (*Compare, e.g.*, 46 C.F.R. § 502.46 with 46 C.F.R. §§ 502.311-321). Nevertheless, the Commission must address the issue of its jurisdiction. “It is elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy.” *Intermodal Motor Carriers Conf. v. Ocean Carrier Equipment Management Ass’n, Inc.*, 6 F.M.C.2d 45, 63 (ALJ 2023) (quoting *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1178 (ALJ 1999); *see also River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999) (“As the ALJ correctly held, an agency must reach the jurisdictional issues before addressing the merits of the case”)).

Claimant cites 46 U.S.C. § 41102(c) in support of its Claim. It provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practice relating to or connected with receiving, handling, storing or delivering property.” In relevant part here, a “common carrier” means a person that:

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

(46 U.S.C. § 40102(7)).

In general, the burden of proof is on the proponent of a motion or order. (5 U.S.C. § 556(d); *see also* 46 C.F.R. § 405.203).

III. Analysis

For the reasons discussed below, I find that the Commission does not have jurisdiction over Claimant's Claim and grant the motion to dismiss.

In this matter, Claimant alleges that Respondent violated 46 U.S.C. § 41102(c). That provision prohibits various unfair practices by, among others, common carriers. Claimant alleges that HLA is a "common carrier." (*See* Claim, at p. 2). A "common carrier" is defined, in part, to include a person that transports passengers or cargo by water "between a port in the United States and a port in a foreign country[.]" (46 U.S.C. § 40102(7)).

Respondent argues that there is no nexus to a port in the United States. To support its assertion, Respondent attached a copy of an invoice to its Motion to Dismiss. The invoice shows a shipment from a point of origination in Canada through a Canadian port to a port in Vietnam. (Motion to Dismiss, Exhibit A).

Claimant does not appear to contest this representation. In its Claim, Claimant indicated that it booked transport for its shipment on a vessel out of the port of Vancouver. (Claim, at p. 1). The Claimant's Claim does not confirm transport to Vietnam, but neither does Claimant deny transport to Vietnam. Claimant had the opportunity to file a reply to Respondent's answer (*see* Notice of Reassignment, at p. 2), but did not file a reply.

Therefore, because Respondent submitted evidence to support its position, and Claimant did not rebut it, I find that Respondent carried its burden of demonstrating that there was no nexus to a port in the United States. Therefore, Respondent is not a "common carrier" for purposes of Claimant's allegations regarding 46 U.S.C. § 41102(c). The Commission lacks jurisdiction to hear this matter.

Respondent also asserts that HLA is not an ocean common carrier but is rather an agency for another entity. I do not reach that argument as it is unnecessary.

IV. Order

Upon consideration of the record herein, the parties' arguments, and for the reasons set forth above, it is hereby

ORDERED that Respondent's Motion to Dismiss is **GRANTED**. It is

FURTHER ORDERED that this matter be **DISCONTINUED**.

Richard C.
Ambrow
Jr -S

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by Richard C.
Ambrow Jr -S
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Richard Ambrow
Administrative Law Judge